

Demand distress: On slowdown in the overall IIP

Rural demand might yet **pick up** during the festival season

The new financial year has **gotten off to a relatively poor start** when it comes to industrial production. **Growth** in the Index of Industrial Production **slumped** to a nine-month low of 1.2% in May 2025. This follows an eight-month low of 2.6% in April. **Taken together**, this puts the average growth in the index **so far** in 2025-26 at just 1.9%, down from the 5.7% average in 2024-25. A major **reason** behind the **dip** in May's industrial performance **was** due to the electricity sector, which **contracted** 5.8%, its worst performance since June 2020, nearly five years ago. This poor **performance** in electricity generation **can** be **put down** to an unusually cool May, but it could also **point towards** lower **offtake** for industrial purposes. The fact also remains that the slowdown in the overall IIP has been **broad-based** — several key sectors have either contracted or slowed sharply. The manufacturing sector slowed to a growth of 2.6% in May, down from 5.1% in May last year. A deeper look shows that this slowdown was **driven** by **contractions** in the manufacture of textiles, leather products, chemicals, pharmaceuticals, electronics, and furniture. While some of these are **core sectors**, most are consumer-facing, **implying** that **demand** in the economy **is** not picking up, and **may** even be **slackening** further. This is **backed** by the fact that the **consumer durables** and **nondurables** sectors simultaneously contracted for the first time since November 2023.

A sub-sector **analysis** of this data further **reinforces** the **takeaway** that demand is weak. Within consumer durables, the IIP data showed significant contractions in the production of footwear, books, plastic furniture, shaving razors, stainless steel utensils, computers, phones, air-conditioners and coolers. These are all items of **discretionary spending**, not strictly essential, which implies that people are **holding off** on their purchases. Even among consumer non-durables, the **items** that have seen contractions — such as meat, honey, fruit juice, jams, sugar and bottled water — **are** those that are **eschewed** the quickest during **lean periods**. The situation does not seem to have improved much in June either. The private sector manufacturing Purchasing Managers Index report, released on Tuesday, shows that while demand for intermediate goods is doing well, the same cannot be said for either **capital** or consumer **goods**. In recent interviews, Finance Minister Nirmala Sitharaman has expressed confidence that urban demand is recovering and that Budget 2025's **tax breaks** will boost demand by the time the festival season **rolls around**. The **progress** of the monsoon so far **indicates** that rural demand may **indeed** pick up **by then**, but urban demand remains a worry. With trade remaining **subdued** and uncertain, domestic demand weakness does not **augur well** for the economy in 2025-26.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

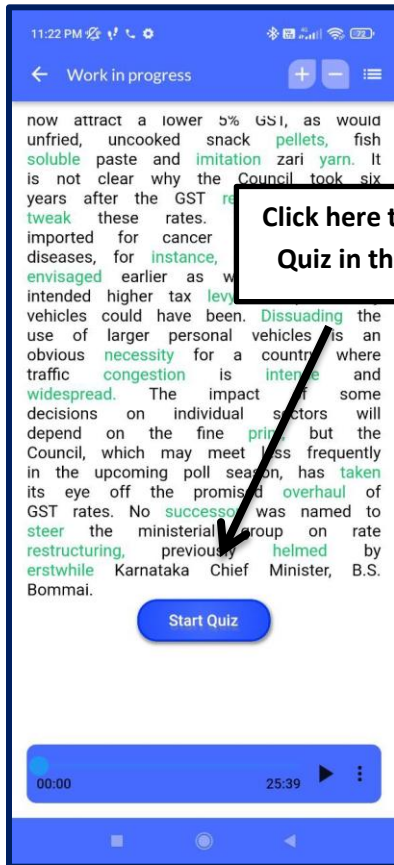
1. **Distress** (noun) – Hardship, suffering, trouble, difficulty, agony संकट
2. **Slowdown** (noun) – Decline, slump, stagnation, deceleration, drop मंदी
3. **Pick up** (phrasal verb) – Improve, recover, increase, rise, gain गति पकड़ना
4. **Get off to a poor start** (phrase) – Begin badly, start poorly, make a weak start, commence unfavourably, kick off weakly खराब शुरुआत करना
5. **Slump** (verb) – Decline, fall, plunge, drop, tumble गिरावट आना
6. **Taken together** (phrase) – Combined, collectively, as a whole, all considered, when viewed together कुल मिलाकर
7. **So far** (phrase) – Until now, up to this point, thus far, as yet, till date अब तक
8. **Dip** (noun) – Decline, decrease, drop, reduction, slump गिरावट
9. **Contract** (verb) – Shrink, decrease, reduce, dwindle, diminish सिकुड़ना/घट जाना
10. **Put down** (phrasal verb) – Attribute, ascribe, credit, assign, link कारण बताना
11. **Point towards** (phrasal verb) – Indicate, suggest, signal, show, hint संकेत करना
12. **Offtake** (noun) – Consumption, uptake, usage, demand, procurement खपत/खरीद
13. **Broad-based** (adjective) – Widespread, extensive, comprehensive, across-the-board, inclusive व्यापक
14. **Drive** (verb) – Cause, propel, spur, fuel, stimulate प्रेरित करना
15. **Contraction** (noun) – Reduction, shrinkage, decline, decrease, compression संकुचन
16. **Core sector** (noun) – a group of eight key industries that play a crucial role in the country's overall economic growth and development मुख्य क्षेत्र
17. **Imply** (verb) – Suggest, indicate, hint, infer, signify संकेत देना
18. **Slacken** (verb) – Slow down, weaken, decline, reduce, ease धीमा पड़ना
19. **Back** (verb) – Support, confirm, validate, endorse, corroborate समर्थन करना
20. **Consumer durable** (noun) – goods that do not need to be purchased very often and last for at least three years टिकाऊ उपभोक्ता वस्तु
21. **Consumer non-durable** (noun) – goods that are used up or consumed relatively quickly, typically within a short period (days, weeks, or months) after purchase. These items are used for immediate or near-immediate अल्पकालिक उपभोक्ता वस्तु

22. **Reinforce** (verb) – Strengthen, support, confirm, bolster, solidify मजबूत करना buildings, machinery, tools and equipment पूंजीगत वस्तुएं
23. **Takeaway** (noun) – Key point, main message, lesson, conclusion, essential insight मुख्य संदेश
24. **Discretionary spending** (noun) – refers to non-essential expenses that can be adjusted or eliminated based on available budget ऐच्छिक खर्च
25. **Hold off** (phrasal verb) – Delay, postpone, defer, put off, wait टालना
26. **Eschew** (verb) – Avoid, shun, abstain from, forgo, steer clear of परहेज करना
27. **Lean period** (noun) – Slow time, downturn, off-season, slack period, lull मंद समय
28. **Capital goods** (noun) – the assets used by businesses in the course of producing their products and services, and can include
29. **Tax break** (noun) – Tax relief, tax incentive, deduction, rebate, tax concession कर में छूट
30. **Roll around** (phrasal verb) – Approach, come around, arrive, near, draw closer आना (समय का)
31. **Indeed** (adverb) – Truly, certainly, definitely, surely, really वास्तव में
32. **By then** (phrase) – By that time, before that point, by the time mentioned, by that moment, earlier than then तब तक
33. **Subdued** (adjective) – Weak, muted, restrained, soft, low-key कमज़ोर
34. **Augur well** (phrase) – Indicate success, bode well, promise well, foretell good, be favourable शुभ संकेत देना

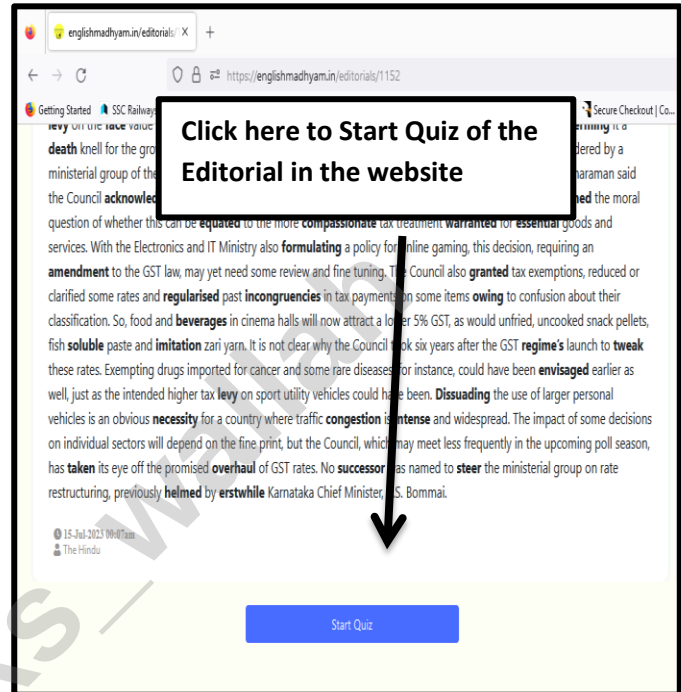
Summary of the Editorial

1. The new financial year 2025-26 started poorly for industrial production in India.
2. Growth in the Index of Industrial Production (IIP) fell to 1.2% in May 2025 — a nine-month low.
3. This follows April's IIP growth of just 2.6%, an eight-month low.
4. The average IIP growth so far in 2025-26 stands at 1.9%, significantly below the 5.7% average in 2024-25.
5. The electricity sector was a major drag, contracting 5.8% in May — its worst performance since June 2020.
6. While an unusually cool May partly explains lower electricity demand, it might also signal reduced industrial activity.
7. The slowdown is broad-based: several key sectors have contracted or slowed sharply.
8. Manufacturing growth dropped to 2.6% in May 2025, down from 5.1% in May 2024.
9. Major declines were seen in the manufacture of textiles, leather, chemicals, pharmaceuticals, electronics, and furniture.
10. Many of these sectors are consumer-facing, indicating weak or declining consumer demand.
11. For the first time since November 2023, both consumer durables and nondurables sectors contracted simultaneously.
12. Within consumer durables, significant production declines were noted in items like footwear, books, plastic furniture, razors, utensils, computers, phones, air-conditioners, and coolers.
13. For consumer non-durables, contractions were seen in products like meat, honey, fruit juice, jams, sugar, and bottled water — items typically cut during tough times.
14. June data also shows continued weakness: the Purchasing Managers Index highlights poor demand for capital and consumer goods, even though intermediate goods fared better.
15. While the government hopes tax breaks and a good monsoon will boost rural demand by the festival season, urban demand remains a serious concern, raising worries about overall economic growth prospects for 2025-26.

Practice Exercise: Banking Pattern Based



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